

ABSTRACT

This paper puts forth 5-aspects that need additional enhancement in the banking sector. Banks sector plays a crucial role in channeling of monetary resources from depositors to borrowers. However, expectations of depositors when they deposit and recovery of full loan amount from the borrowers, such spheres of banking needs to be understood in a broad perspective. In this sense, this article discusses importance of Customer satisfaction to Recovery of Loans from borrowers for smooth flow of capital.

A) Introduction-

Banking sector plays an important role in the development of an economy; they are a crucial link in channeling the funds from Surplus Spending Units (households) to Deficit Spending Units (businesses/corporates). Their role in credit creation is an important element in utilizing capital over and over again. Hence, Commercial banks make up an important part of finance sector along side other financial institutions. But since Commercial banks are more involved in the day-to-day life of common man when compared to other financial institutions, they are much more regulated than any other institute. A number of regulations govern the functioning of the commercial banks; one such international regulation being Basel agreements whose III-phase is in place, this phase highlights more tools for maintaining adequate capital along with quantifying risks related to Market, Operations and Asset.

Such types of regulations are in place to ensure smooth functioning of the banking sector in domestic and international arena in broader sense. The importance of such regulation can be understood in the light of recent banking crisis around the World, the 2008-09 Global Financial Crisis showed the chain reaction of crisis in one part of the world impacting another and the recent banking scams in India showed that there are areas needing improvement. Even though the systems are well established, there are loopholes by which many businesses took undue advantage; in this article we discuss measures to minimize such instances.

In this article we highlight 5-aspects in the banking sector in India with reference to filling the loopholes to tackle the situation of Non-Performing Assets (NPA). The NPA in India has increased significantly whereas similar emerging economies have managed relatively stable NPA (*Bhasin, 2017*). Care must be taken while handling NPA otherwise it could affect future growth of credit creation, loss of public faith in the banking sector, loss of taxpayers money in case of Public banks, insolvency and shut-down in case of Private banks, to name a few. Some of the factors that affect NPA are Country's macro-economic growth, Lending policy, Legal processes, Managerial performance, Political pressure and Social responsibility on Public banks, Supervision of loans, to name a few (*Singh & Brar, 2016*), (*Singh et. al, 2016*) and (*Moneeshkumar & Gurusamy, 2015*).

B) 5-Selected Aspects for Institutional Development-

1) Quality Of Service Between Public And Private Banks-

One of the major reasons for the prevalence of private sector is the quality of service that they offer and recent initiatives such as corporate social responsibility have developed a sense of social welfare in the private sector but in the study by *Dutta and Dutta (2009)*, authors found that the private sector banks have less penetration to weaker sections of society as compared to the public sector banks. Public banks service to the weaker section of the society improved in the previous years and also found that customers of Public banks are neutral about the quality of service offered. This is of particular importance as facility such as banking must be available to all in order to benefit individuals from the service of banking. The Factor analysis approach by authors showed that convenient services such as internet banking, facility of ATM's, empathy while dealing with various customers queries and reliability in their functions play a significant role in making a customer satisfied. Hence, when dealing with the hard earned money of people, due care must be taken and highest moral code should be followed irrespective of bank being public or private.

2) Appropriate Allocation And Mobilization Of Resources-

People deposit their hard earned money in the banks for variety of reasons. One being, channeling funds efficiently in a developing nation, where due to urban boom, workers from all over the country come to urban cities to earn a living and send the savings back home. Their hard work contributes to the urban development whereas their savings that they send back home in village's aides the development of rural areas. Banks must be at the forefront of mobilizing money and must ensure that the public money must be utilized in the most efficient way. India is a country with diverse cultures and traditions; ethics of all the customers must be given highest priority. Else if customers come to know that the money that they had deposited in a bank was used by the bank to loan to an individual for an activity that may be unethical to their culture and tradition, in such a scenario, customers would feel the loss of money and as well as of moral code.

Also, in similar lines there is a need not only to increase the profits but also to reduce the NPA and this can be achieved if funds are allocated in an appropriate manner on the basis of facts and not overly optimistic ideas. Public banks generally suffer due to their social objectives and their capacity to offer loans of huge amount as compared to Private banks (*Singh et. al, 2016*).

3) Selecting The Right Assets As Collateral-

Collateral is the first key in guaranteeing the security of the loan amount. It is highly important for banks to develop risk management standards in order to assess their capital exposure in a deal. Apart from assessing risks based on external rating agencies, internal control system must be well built to assess high risks exposures and demand appropriate premiums for the same. Care must be ensured with the parties involve in the dealings, both external and internal, as in many cases there are both the parties involve in wrong doing, the staff of the bank and the debtor both are involved. Hence, while considering disbursements of loans, decisions must be based on facts and not on wishful thinking.

Much of the present scenario of NPA was created when overly optimistic prediction of corporates went wrong, series of world economic downturn consisting of backtrack in continuous growth of economies around the world, Dot-com bubble of 2001-02, Global financial crisis of 2008-09, Rise in the exchange rate of U.S. Dollar per rupee, The crash in oil price of 2014, Brexit uncertainty and also the Chinese stock market crash having ripple effect over the world economies. These scenarios lead to high costs of borrowing, foreign transaction losses due to volatile exchange rate market and falling revenues (*Kaveri, 2017*). All this fuelled speculation in the market that is unwelcoming. Hence when it comes to lending, appropriate investigation must be done on the borrowers portfolio and facts must be double-checked, it is important to select the right assets as collateral to make sure the principal amount is insured in an unfortunate event of non-payment.

4) Strategy Of Bank's-

Ownership influences the strategic objectives and risk taking ability of the banks. In Public banks it is the taxpayer's money that is used to capitalize the banks and in case of private banks the individual owners provide capital. Publically owned banks are under constraint of meeting the social welfare goals. Public banks under the guidelines of the government would lend to certain sectors that may be facing less economic growth in order to meet the welfare needs of the society and the priority sector lending as stated by the government even though the probability of default would be high due to reasons from moral hazard of the borrower to the less growth in the sector the loan is being granted, such lending of loans may fuel the NPA of Public sector banks balance sheet. Private sector banks would not share the same broader mindset of social responsibility as the Public banks (*Singh & Brar, 2016*).

5) Regulatory Frameworks-

As mentioned earlier, there are various regulations revolving around commercial banks that are involved in the daily life of common man and borrowing individuals and corporates. There may be instances of non-payment by the borrower due to various reasons; in such a situation there must be sufficient tools for provisioning and recovering of loan amount to ensure future growth of credit in the economy and smooth functioning of the banking system (*Dhar & Bakshi, 2015*). One of the major tool is the legal proceeding of the country. If it is lengthy and cumbersome then there would be additional losses incurred by the banks in terms of time-wasted and legal fees. This brings the important role of co-operation between legal and finance sector to ensure smooth economic growth. The recent Insolvency and Bankruptcy Code (2016) (Mca.gov.in, 2018) is expected to fast-track NPA cases and also the announcement of Recapitalization Of Public Banks (Pib.nic.in, 2018) is expected to reduce the damage to the economy by the recent NPA losses. Even though this would impact the fiscal position of the government and taxpayer's money (*Bhasin, 2017*), the credit availability for funding investment needs must be top priority along with the lessons learnt from the past to avoid future losses.

C) Conclusion-

The proactive steps by the government would ensure availability of capital to meet the appropriate investment demand and formation of bankruptcy laws would make sure appropriate action is taken against unethical actions by borrowers for repayment of their loan. There would be various developmental aspects requiring attention in banking sector, this paper puts forth 5-aspects from among many of them. Areas such as *Quality Of Service Between Public And Private Banks, Appropriate Allocation And Mobilization Of Resources, Selecting The Right Assets As Collateral, Strategy Of Bank's And Regulatory Frameworks* were highlighted that needs a broad understanding and be applied practically for enhancing smooth flow of capital.

D) References-

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